Recalibrating Economics of Insurance Distribution

What IRDAI's September 2026 consultation paper changes, and what to do about it

Status: a public consultation draft (released 23 Sep 2026), not a rule. Comments close **25 Oct 2026**. Figures may change. The RBI Responsible Business Conduct Second Amendment Directions (15 Jun 2026) are final and take effect **1 Jan 2027**.

Scope note: the "existing rules" column draws on the paper's own description of current rules plus background knowledge of the 2023 EoM and commission regulations. Those regulations were not supplied; verify against the texts. The role of "us" was not specified, so actions are given by role.

1. Summary

- **Architecture:** 8 entity types and 9 individual types collapse into 3 – IDE (entity), IDP (individual), MII (market infrastructure).
- **Costs:** insurer expense-of-management (EoM) limits fall on a glide path from FY2027-28: life 15% → 12.5%, general 25% → 20% (today 30%).
- **Commission:** hard, product-specific caps return; all payments (rewards, trips, related-party) count as commission.
- **Conduct:** enforceable suitability, ban on compulsory loan–insurance bundling, ban on dark patterns, public mis-selling records, commission claw-back.
- **Plumbing:** premium paid directly to the insurer; Bima Sugam (MII) and the Public Insurance Registry (PIR) become core infrastructure.

2. What changes: existing vs proposed

Area	Existing (per paper)	Proposed
Distributor types	8 entity types (corporate agent, broker, IMF, web aggregator, CSC, OEM broker…) and 9 individual types.	3 types: **IDE**, **IDP** (agent, associate, specified person, PoSP), **MII**. PoSPs/MISPs with entity structure must register as IDEs.
Capital & fees	Broker capital ₹75 lakh–₹5 cr; corporate agents often none; registration renewed every 3 years.	IDE: ₹10 lakh at entry plus bank deposit of 0.1% of commission income (min ₹10 lakh, max ₹10 cr), lien to IRDAI. Permanent registration; fee ₹10k + higher of ₹10k or 0.04% of commission income p.a. MII: ₹25 cr.
Scope	Varies by type: sum-assured caps, state and product limits.	Every IDE may opt for open architecture and sell any product; non-insurance financial and non-financial products allowed. Hospitals (health) and garages (motor) can distribute. TPAs and surveyors cannot.
Individuals	Class 10, 15–75 hrs training, 35% pass mark.	Class 12; ≥100 hrs per segment; secure online tests with centres in every taluka; no IRDAI approval of specified persons; unique functional identity tagged to each policy.
EoM (insurer expense cap)	Entity-level cap on gross written premium; carve-outs for technology, awareness, rural spend.	Cap on gross direct premium income (GDPI); carve-outs folded in; reinsurance commission cannot be netted; only ⅓ of PMFBY premium counts. Life 15% (2 yrs) / 12.5% (5 yrs); general 25% / 20%. Graduated sanctions for breach. IRDAI fee 0.05% → 0.04%.
Commission	2023 replaced per-product caps with Board-approved policy. Paper: commission up 2–2.7x vs premium up 1.3–1.4x.	Hard caps by segment, channel, complexity and effort. Open architecture lower than closed. All remuneration included. Under-served areas get +10–20% uplift. Larger renewal commission for long-term life products.
Transparency	Price and product often behind lead forms; commission opaque.	Dark patterns banned; product, price and quality info without personal details; one-page sheet and FAQ; public commission policy; commission on policies with sum insured > ₹50 cr; cost audit (all insurers, IDEs with commission > ₹100 cr); financial disclosure for IDEs with insurance revenue > ₹50 cr; Board/CEO certification.
Money flow	Premium can route through intermediary accounts.	Customer pays insurer directly from own account; no third-party payments; claims to verified accounts; distributors paid by the day after free-look ends, interest on delay; IDEs never handle customer money.
Bundling & mis-selling	No specific IRDAI regime.	Compulsory bundling banned for banks/NBFCs (acceptable packages listed); enforceable suitability for high-value life sales; no volume-linked staff incentives; seller identity published; commission claw-back.
Motor	MISP guidelines.	Dealers register as IDEs or tie up as PoSP/associate; must display Bima Sugam option, share customer mobile with PIR; no refusal of cashless repair; much lower commission on third-party and new-vehicle cover.
Infrastructure	None.	Insurer-promoted MIIs (≥11 insurers, each <10% at maturity; fee ≤5% of premium for motor). PIR owned by IRDAI for identity, portability and 'Know your distributor'.

3. Indicative commission caps (selected, % of premium)

Product	Distribution entities	Agents / associates
Motor third-party, new vehicle	Nil	2.5%
Motor own damage, new vehicle	5%	10%
Individual health, first year / renewal	15% / 5%	20% / 10%
Group health (max ₹100 lakh)	2.5%	5%
Retail property, first year / renewal	15% / 10%	20% / 15%
Life non-linked/linked, PPT 10+ yrs: first / renewal	20% / 3%	25% / 5%
Life, PPT 5 yrs: first / renewal	10% / 2%	12.5% / 2–5%
Individual savings, single premium	1%	2%
Credit-linked life (lender), multi-year: first / renewal	2.5% / 1%	n/a
Credit-linked motor OD / health first year	5% / 5%	n/a

Rural and small-town uplift: +10% (cities <10 lakh) or +20% (towns <50,000 and rural) of the applicable first-year limit. See Box 4A/4B of the paper for the full grid.

4. RBI directions (final, effective 1 Jan 2027)

Apply to commercial banks, not NBFCs or insurers. IRDAI says its proposals will complement them.

- Explicit consent for every product, with the default choice 'No'; each product enumerated separately.
- No compulsory bundling of third-party products; no funding a product from a loan without consent.
- No incentives to bank staff from third-party providers; staff and DSAs bound by a Code of Conduct.
- Public list of empanelled DSAs, updated within 7 days.
- Feedback from customers within 30 days of sale; half-yearly report; refund plus compensation on proven mis-selling.
- Dark patterns prohibited; annexure lists 11 types (e.g. pre-ticked loan protection insurance = 'basket sneaking').

5. What it means, by role

Role	Impact
Insurers	Largest impact. EoM glide path, hard caps and cost audit force renegotiation of distributor terms. Most exposed: multi-tie-up bank deals, NBFC credit-life and broker group-health arrangements (paper cites payouts of 42–93%).
Brokers / corporate agents	Lower entry cost and open architecture for all IDEs, but commission caps, public disclosure and accountability for individuals. Large non-PoSP brokers with 30–60% PAT margins are called out.
Banks / NBFCs	RBI rules from 1 Jan 2027; credit-linked insurance commission drops to 2–2.5%; staff incentives end; consent flows must be redesigned.
Agents / PoSPs / MISPs	Training rises to 100 hrs; entity-structured dealers become IDEs; caps cut earnings on easy sales such as new-vehicle motor.
Insurtechs / aggregators	Become IDEs. Dark-pattern ban, no lead capture before price display and direct-to-insurer payment affect design; MII/PIR may compete directly.

6. Recommended actions

#	Action	Timing
1	Decide whether to file comments (questions 15, 19 and 24 are most relevant); quantify impact for the submission.	By 25 Oct 2026
2	Model impact: map every channel to the Box 4A/4B caps incl. rewards; compute EoM on the GDPI basis against the glide path (paper: FY26 private life ~20%, private general ~32%).	Next 2–4 weeks
3	Start restructuring contracts reliant on related-party payments or above-cap commission; Board/CEO certification will make them visible.	Q4 2026
4	Fix conduct systems now: suitability and needs records with audit trail; explicit-consent flows (no pre-ticked boxes); dark-pattern review of all journeys; policy-level tagging of the selling individual.	Before 1 Jan 2027
5	Plan Bima Sugam and PIR integration, direct customer-to-insurer payment, OTP/Aadhaar verification before issue.	FY2027-28
6	Review structure and capital: IDE/IDP status, new deposit and fee, non-insurance revenue options, training budget.	On final rules
7	Track open items: final regulations, exact caps, effective dates beyond FY2027-28, 'large distributor' thresholds, disclosure formats.	Ongoing

Sources: IRDAI press release (23 Sep 2026); Consultation Paper Part 1 (Distribution Reforms) and Part 2 (Distribution Costs & Commission Structure); RBI (Commercial Banks – Responsible Business Conduct) Second Amendment Directions, 2026. Part 2 annexure data tables were not reviewed in detail. This briefing is analysis, not legal advice.